

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 504

BY STATE AFFAIRS COMMITTEE

AN ACT

RELATING TO THE IDAHO STATE LOTTERY; AMENDING SECTION 67-7404, IDAHO CODE, TO DEFINE TERMS AND TO MAKE TECHNICAL CORRECTIONS; AMENDING CHAPTER 74, TITLE 67, IDAHO CODE, BY THE ADDITION OF A NEW SECTION 67-7449, IDAHO CODE, TO ESTABLISH PROVISIONS REGARDING THE PROHIBITION OF BULK TICKET PURCHASES OF IDAHO LOTTERY GAMES; AMENDING SECTION 67-7449, IDAHO CODE, TO REDESIGNATE THE SECTION; AMENDING SECTION 67-7450, IDAHO CODE, TO REVISE A PROVISION REGARDING AUDIT OF FUNDS AND REPORTS AND TO REDESIGNATE THE SECTION; AMENDING SECTION 67-7451, IDAHO CODE, TO REDESIGNATE THE SECTION; AMENDING SECTION 67-7452, IDAHO CODE, TO REDESIGNATE THE SECTION; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 67-7404, Idaho Code, be, and the same is hereby amended to read as follows:

67-7404. DEFINITIONS. As used in this chapter:

(1) "Acting in concert" means and includes persons coordinating their purchases, sharing funds for purchases, or acting on behalf of a common interest or strategy to exceed the bulk purchase transaction limit.

~~(1)~~ (2) "Administrative costs" means personnel costs, capital outlay, and reasonable expenses incurred by other state agencies to effectuate the purposes of this chapter.

(3) "Bulk purchase transaction" means a purchase by any person or persons acting in concert of lottery tickets exceeding five thousand dollars (\$5,000) within a twenty-four (24) hour period, including:

(a) Purchases occurring in a single transaction or multiple transactions; and

(b) Purchases occurring at a single location or multiple locations.

~~(2)~~ (4) "Commission" means the Idaho state lottery commission.

~~(3)~~ (5) "Director" means the director of the lottery.

~~(4)~~ (6) "Expenses" means all costs of doing business, including, but not limited to, prizes, commissions, and other compensation paid to retailers, advertising and marketing costs, personnel costs, capital outlay, reasonable expenses incurred by other state agencies to effectuate the purposes of this chapter, depreciation of property and equipment, and other operating costs, all of which are to be recorded on the accrual basis of accounting in accordance with generally accepted accounting principles.

~~(5)~~ (7) "Lottery" or "state lottery" means the state lottery established and operated pursuant to this chapter.

~~(6)~~ (8) "Lottery contractor" means a person with whom the lottery has contracted for the purposes of providing goods and services for the state lottery.

~~(7)~~ (9) "Lottery game retailer" or "retailer" means a person with whom the lottery has contracted for the purpose of selling tickets or shares in lottery games to the public.

~~(8)~~ (10) "Lottery revenue" means revenue derived from the sale of lottery tickets and shares. Such revenues shall be recorded on the accrual basis of accounting in accordance with generally accepted accounting principles.

~~(9)~~ (11) "Lottery vendor" or "vendor" means any person who submits a bid, proposal or offer as part of a major procurement for goods or services as defined in subsection (11) of this section.

~~(10)~~ (12) "Low, medium and high tier claims" means the dollar amount of prizes awarded in accordance with rules of the state lottery.

~~(11)~~ (13) "Major procurement" means any contract with a vendor supplying lottery tickets or shares, data processing systems utilized to track, sell, distribute or validate lottery tickets or shares, any goods or services involving the determination or generation of winners in any lottery game, or any auditing services. A major procurement shall be undertaken at all times in conformance with the constitution and laws of the state of Idaho, and lottery. Lottery vendors in submitting a bid, proposal or offer as part of a major procurement for goods or services as defined in this subsection shall be undertaken at all times in conformance with the constitution and laws of the state of Idaho.

~~(12)~~ (14) "Net income" means lottery revenue and nonlottery revenue, less expenses, as defined in this chapter.

~~(13)~~ (15) "Person" shall be construed to mean and include means and includes an individual, association, corporation, club, trust, estate, society, company, joint stock company, receiver, trustee, assignee, referee, or any other person acting in a fiduciary or representative capacity, whether appointed by a court or otherwise, and any combination of individuals. "Person" shall also be construed to The term also means and includes departments, commissions, agencies, and instrumentalities of the state of Idaho, including counties and municipalities and agencies or instrumentalities thereof.

~~(14)~~ (16) "Redemption value" means the sum total of all winnings upon the ticket presented for payment.

~~(15)~~ (17) "Share" means any intangible evidence of participation in a game conducted by the state lottery.

~~(16)~~ (18) "Ticket" means any tangible evidence issued by the lottery to provide participation in a game conducted by the state lottery.

~~(17)~~ (19) "Value" means any ticket shall be taken at face value.

SECTION 2. That Chapter 74, Title 67, Idaho Code, be, and the same is hereby amended by the addition thereto of a NEW SECTION, to be known and designated as Section 67-7449, Idaho Code, and to read as follows:

67-7449. BULK PURCHASE TRANSACTIONS. (1) Bulk purchase transactions shall be prohibited in the state of Idaho.

(2) The Idaho state lottery may deny payment of any prize for a lottery ticket if it determines the lottery ticket was purchased as part of a bulk purchase transaction.

1 (3) The lottery reserves the right to investigate any ticket purchase
 2 patterns it deems suspicious or indicative of a bulk purchase transaction.
 3 The lottery's determination as to whether a violation of this section has oc-
 4 curred is final and binding.

5 (4) In conducting such investigations, the lottery may consider the
 6 following sources: video surveillance, purchase records, transaction data,
 7 witness statements, and any other evidence it deems relevant to making a
 8 determination.

9 (5) Any licensed lottery game retailer, or any agent or employee
 10 thereof, who is determined to have knowingly facilitated a bulk purchase
 11 transaction shall be subject to penalties, including but not limited to
 12 suspension or termination of the retailer's contract and corresponding cer-
 13 tificate of authority and any other sanctions authorized by rule or statute.

14 SECTION 3. That Section 67-7449, Idaho Code, be, and the same is hereby
 15 amended to read as follows:

16 ~~67-7449~~ 67-7450. CAP ON ADMINISTRATIVE COSTS. During the first year
 17 of operation, administrative costs shall not exceed twenty percent (20%) of
 18 lottery revenue. Thereafter, administrative costs shall not exceed fifteen
 19 percent (15%) of lottery revenue during any fiscal year. Advertising and
 20 promotional costs shall not exceed three and one-half percent (3 1/2%) of
 21 lottery revenue during any fiscal year.

22 SECTION 4. That Section 67-7450, Idaho Code, be, and the same is hereby
 23 amended to read as follows:

24 ~~67-7450~~ 67-7451. AUDIT OF FUNDS -- REPORTS. (1) The right is reserved
 25 to the state of Idaho to audit funds of the commission at any time.

26 (2) On or before January 15 of each year, the director shall file a
 27 report with the ~~senate state affairs committee, the house state affairs~~
 28 ~~committee, the legislative services office, the state controller, and the~~
 29 ~~division of financial management, a report showing the annual income and~~
 30 ~~expenses by standard classification of the commission during the preceding~~
 31 ~~fiscal year. The report shall also include an estimate of income to the com-~~
 32 ~~mission for the current and next fiscal years and a projection of anticipated~~
 33 ~~expenses by category for the current and next fiscal years. From and after~~
 34 ~~January 15, 1990, the report shall also include a reconciliation between the~~
 35 ~~estimated income and expenses projected and the actual income and expenses~~
 36 ~~of the preceding fiscal year.:~~

37 (a) The senate state affairs committee;

38 (b) The house state affairs committee;

39 (c) The legislative services office;

40 (d) The state controller;

41 (e) The division of financial management; and

42 (f) The joint finance-appropriations committee. Notwithstanding any
 43 other provision of this chapter, the joint finance-appropriations com-
 44 mittee may, by appropriation, measure, limit, or modify proposed expen-
 45 ditures of the commission.

46 ~~(3) In addition to the reports required in subsection (2) of this sec-~~
 47 ~~tion, the director shall also file the same report with the joint finance-ap-~~

~~appropriations committee. Notwithstanding any other provision of this chapter, the joint finance-appropriations committee may, by appropriation measure, limit or modify proposed expenditures of the commission.~~

(3) The report shall:

(a) Show the annual income and expenses by standard classification of the commission during the preceding fiscal year;

(b) Include an estimate of income to the commission for the current and next fiscal years and a projection of anticipated expenses by category for the current and next fiscal years; and

(c) Include a reconciliation between the estimated income and expenses projected and the actual income and expenses of the preceding fiscal year.

SECTION 5. That Section 67-7451, Idaho Code, be, and the same is hereby amended to read as follows:

~~67-7451~~ 67-7452. LOTTERY EXEMPT FROM STATE PROCUREMENT ACT. Notwithstanding any other provision of law to the contrary, the state lottery shall be exempt from the state procurement act provided in chapter 92, title 67, Idaho Code.

SECTION 6. That Section 67-7452, Idaho Code, be, and the same is hereby amended to read as follows:

~~67-7452~~ 67-7453. SEVERABILITY. If any of the provisions of this chapter or the application thereof to any person or circumstance is held invalid, such invalidity shall not affect other provisions or applications of the chapter which can be given effect without the invalid provision or application, and to this end the provisions of this chapter are severable.

SECTION 7. An emergency existing therefor, which emergency is hereby declared to exist, this act shall be in full force and effect on and after July 1, 2026.